parity is called the amount of the premium, or the "spread." Conversely if the price of the convertible is below parity, the difference is sometimes called the discount.[5]

A Fruitful Field for Dependable Analysis. The Paramount and Studebaker examples give us that infrequent phenomenon—an absolutely dependable conclusion arrived at by security analysis. Holders of the common could not possibly lose by exchanging into the convertible issues, and they had excellent prospects, which in fact were realized, of deriving substantial benefits in the form of both increased income and greater market value. In this respect, privileged issues offer a fruitful field for the more scientific application of the technique of analysis. The foregoing examples are typical also of the price relationships created by an active and advancing market. When there is a senior issue convertible into common, the concentration of speculative interest in the latter often results in establishing a price level closely equivalent to (and sometimes even higher than) the price of the senior issue, to which the public pays little attention.

Conclusion from Foregoing. It is clear that a convertible issue selling on a parity with the common is preferable thereto, except when its price is so far above an investment level that it has become merely a form of commitment in the common stock. (Brooklyn Union Gas Company Convertible 5½s, due 1936, are an example of the latter type of situation. The bonds, convertible into 20 shares of common from January 1, 1929, sold at 147 or higher during the years 1927–1932, inclusive, and sold at 489 in 1929.) It is generally worth while to pay some moderate premium in order to obtain the superior safety of the senior issue. This is certainly true when the convertible yields a higher income return than the common, and it holds good to some extent even if the income yield is lower.

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[5] If the senior issue may be promptly exchanged for the common, a discount results in creating an *arbitrage* opportunity. This is a chance to make a profit (usually small) without risk of loss by: (1) simultaneously buying the senior issue and selling the common stock; (2) immediately converting the senior issue into the common stock; and (3) delivering the common stock against the sale, thus completing the transaction. Arbitraging of "open-and-shut" kind is done rather extensively in active, rising markets, but the opportunities are usually monopolized by brokers specializing in such operations. Other forms of intersecurity arbitrage operations arise from reorganizations, mergers, stock split-ups, rights to buy new stocks, etc. For detailed discussion see Meyer H. Weinstein, *Arbitrage in Securities*, Harper & Brothers, 1931. In the older sense, the term "arbitrage" applied to simultaneous purchases and sales of the same security in different markets (*e.g.*, New York and London), and to similar operations involving foreign exchange.